

Spring 2022

Q.1 Answer the following short questions.

1. Explain Big Push Theory.

The Big Push Theory, introduced by economist Paul Rosenstein-Rodan, suggests that a certain minimum amount of investment is necessary to initiate and sustain economic growth in developing countries. It emphasizes that small-scale investments in isolated sectors will not lead to overall economic development. Instead, a coordinated, large-scale investment in various sectors is required to create a self-sustaining growth process. This theory highlights the importance of overcoming the indivisibilities in production and demand, which can lead to multiple equilibria and economic traps.

2. Discuss Consequences of High Fertility.

High fertility rates can have significant socio-economic consequences, including:

- **Economic Burden:** Increased dependency ratio as a larger proportion of the population is non-working, requiring more resources for health, education, and welfare.
- **Strain on Resources:** Higher demand for food, water, housing, and public services, leading to potential shortages and increased prices.
- **Poverty Cycle:** Larger family sizes can perpetuate poverty as resources are stretched thinner, reducing the ability to invest in each child's education and health.
- **Environmental Impact:** Greater pressure on the environment due to higher consumption of natural resources, leading to deforestation, soil degradation, and pollution.

3. Discuss Human Development Index.

The Human Development Index (HDI) is a composite index developed by the United Nations to measure a country's overall achievement in its social and economic dimensions. It considers three main dimensions:

- **Health:** Measured by life expectancy at birth.
- **Education:** Measured by mean years of schooling for adults and expected years of schooling for children entering school.

- **Standard of Living:** Measured by Gross National Income (GNI) per capita.

The HDI provides a broader understanding of development beyond economic growth, focusing on improving people's well-being and capabilities.

4. How Unbalanced Growth Theory Differs from Balanced Growth Theory?

- **Balanced Growth Theory:** Proposes that investments should be distributed evenly across all sectors of the economy to promote uniform development. It suggests that simultaneous development in multiple sectors can create a balanced and interdependent growth process.
- **Unbalanced Growth Theory:** Advocated by economists like Albert Hirschman, this theory argues that developing countries should focus investments on leading sectors or industries with the highest potential for growth. The success of these leading sectors will create positive spillover effects and linkages that stimulate growth in other sectors.

5. Critically Evaluate Lewis Model of Surplus Labour.

The Lewis Model, proposed by W. Arthur Lewis, explains development in terms of the transfer of surplus labor from the traditional agricultural sector to the modern industrial sector. Key points include:

- **Dual Sector Model:** The economy is divided into a traditional, overpopulated rural sector and a modern, urban industrial sector.
- **Surplus Labour:** The rural sector has surplus labor with marginal productivity close to zero, which can be transferred to the industrial sector without loss of agricultural output.
- **Criticism:** Assumes unlimited supply of labor, underestimates the role of institutions, ignores potential rural-urban migration issues, and oversimplifies the complexities of labor markets.

6. What are Economic Characteristics of High Poverty Groups?

High poverty groups typically exhibit the following economic characteristics:

- **Low Income:** Insufficient earnings to meet basic needs.

- **High Unemployment:** Limited access to stable and well-paying jobs.
- **Low Human Capital:** Poor education and health outcomes, limiting productivity and employability.
- **Informal Sector Employment:** Predominance of informal, low-wage, and insecure jobs.
- **Limited Access to Credit:** Inability to obtain financing for investment in education, health, and businesses.
- **High Dependency Ratios:** Larger families and higher dependency burdens.

Q.2 Answer the following questions.

1. What is the Difference Between Economic Development and Economic Growth? Explain Key Indicators of Economic Development.

- **Economic Growth:** Refers to the increase in a country's output of goods and services (GDP) over time. It is a quantitative measure focusing primarily on the rise in national income and output.
- **Economic Development:** A broader concept that includes economic growth but also encompasses improvements in living standards, reduction in poverty, inequality, and unemployment, and enhancements in health, education, and environmental sustainability.

Key Indicators of Economic Development:

- **Income Indicators:** GDP per capita, income distribution (Gini coefficient).
- **Health Indicators:** Life expectancy, infant mortality rate, access to healthcare.
- **Education Indicators:** Literacy rates, school enrollment rates, average years of schooling.
- **Poverty Indicators:** Percentage of population below poverty line, multidimensional poverty index.
- **Human Development Indicators:** HDI, Gender Development Index (GDI).

2. Discuss Rostow's Stages of Economic Growth.

Walt Rostow's model outlines five stages of economic development:

- **Traditional Society:** Characterized by subsistence agriculture, limited technology, and a static social structure.
- **Preconditions for Take-off:** Initiation of progressive leadership, investment in infrastructure, expansion of markets, and improvements in agriculture.
- **Take-off:** Rapid growth in a limited number of industries, leading to sustained economic expansion and increased investment.
- **Drive to Maturity:** Diversification of the economy, development of new industries, technological innovation, and increased urbanization.
- **Age of High Mass Consumption:** Shift from industrial production to service-oriented economy, higher living standards, and increased consumer goods availability.

3. Explain Debt Cycle Theory and Any Two Conventional Solutions to Debt Difficulties.

Debt Cycle Theory posits that countries, especially developing ones, may become trapped in a cycle of borrowing and repayment. High levels of debt servicing can constrain economic growth, leading to further borrowing and perpetuating the cycle. Key features include:

- **Borrowing for Development:** Initial borrowing intended for development projects.
- **Debt Servicing Issues:** Difficulty in repaying loans due to low returns on investments or economic shocks.
- **Debt Trap:** Continuous borrowing to service existing debt, leading to escalating debt levels.

Conventional Solutions to Debt Difficulties:

- **Debt Restructuring:** Renegotiating the terms of existing debt to extend repayment periods, reduce interest rates, or provide partial debt forgiveness to make debt servicing more manageable.
- **Economic Reforms:** Implementing policy changes to improve fiscal discipline, enhance revenue generation, increase export earnings, and promote economic diversification.

to stabilize the economy and improve debt repayment capacity.

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